temporary imbalances between demand and supply, even if unwarranted by medium-term fundamentals. This puts more pressure on the central bank to intervene.

We can certainly increase bank open position limits, and will do so over time, but it would not be prudent to place all the exchange risk on banks. A better option would be to allow more players to hold open positions without an underlying, with some limits so that we do not get excessive speculation or attempts at manipulation by single traders. This can rectify market imbalances, improving exchange market liquidity and depth, without imposing large demands on banks or on the RBI. The RBI took a fundamental step in this direction yesterday by allowing a moderate open position to all market participants. Based on experience, the RBI will decide further moves.

Finally, not all participation adds to liquidity and depth in Indian markets. For example, some foreign organizations have suggested allowing trading of domestically issued Indian securities abroad, only reporting the trades domestically. Unfortunately, this could subtract trading on Indian exchanges, and thereby diminish liquidity. We have suggested to such organizations that they either conduct their trades on the Indian exchanges, or that they direct their clients to Masala bonds [*Author's note: These are rupee-denominated bonds issued in foreign locales that are discussed later in the speech*]. The former is still under discussion.

INNOVATION

Financial innovation is sometimes seen in a bleak light as a way to evade or avoid taxes and regulations. Properly done, however, financial innovation can slice and dice risks so that they are placed on the right shoulders. One example of such an instrument is interest rate futures, where after an overhaul in 2013-14, the last twelve months' average daily trading volume was close to Rs 23 billion (despite falling